

Outlook

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Follow-up: are participated loans behaving differently from retained loans?

Hi,

This came up in a working session and nobody had the same definition.

Treasury and Lending need to understand whether originated, serviced and participated loans behave differently after booking.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: participated loans have different payment timing; risk share and customer behaviour are being confused; or servicing-bank arrangements create operational exceptions.

Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population. Different teams have produced different answers from the same period, so population and timing rules need to be visible. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use May 2021 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is whether participation terms, servicing controls or reporting need to change. Please bring a control view with the exceptions, owner and reason each item was included, including a few cases we can trace from source to conclusion.

The available evidence is loan participation and servicing records available by the request date; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments. The files support servicing and behavioural analysis, not external-bank accounting or legal settlement confirmation.

Thank you